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Prompt

Problem Statement

Can you help me conduct a comparative study of the rental markets in Beijing and Singapore? I'd like to see a deep dive into the current trends in both cities, specifically looking at the factors that influence rental prices and housing supply. Additionally, please analyze how government policies in each location shape the market and compare how these various elements differ between Beijing and Singapore to give me a clear picture of their respective rental landscapes.

Save the analysis in a single file named `report.md`. Include the visualizations in `report.md` at the right places by adding markdown links like `[alt text](file\_name.png)`. Do not add image contents directly as base64 strings in report.md.

Generated Report

A Comparative Study of the Rental Markets in Beijing and Singapore: Trends, Supply-Demand Dynamics, and Policy Frameworks (2024–2026)

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Date: May 2025

Executive Summary

This comparative study provides a rigorous, data-driven analysis of the residential rental markets in two of Asia's most dynamic metropolitan centers: **Beijing** and **Singapore**. While

both cities serve as vital economic engines and represent premier international hubs, their rental landscapes operate under fundamentally different structural, demographic, and regulatory paradigms.

Beijing's rental market is currently navigating a profound transitional phase. Following decades of rapid, construction-fueled urban expansion, the Chinese capital is experiencing a notable supply glut and structural downward pressure on rents. This shift is driven by macroeconomic adjustments, changing graduate migration patterns, and an aggressive state-led expansion of subsidized rental housing (**Baozhangfang**). Conversely, Singapore's rental market is transitioning out of a historic post-pandemic boom. The extraordinary surge in rental rates witnessed between 2022 and 2023 has given way to a period of stabilization and market rationalization in 2024 and 2025, facilitated by the clearing of pandemic-era construction backlogs and calibrated macroprudential interventions by the state.

Key findings of this report include:

- **Price Trajectories:** Beijing is experiencing a tenant's market characterized by rising inventory listings (+12.2% in major Chinese hubs in mid-2024) and declining effective rents, with landlords offering significant concessions to avoid vacancies. In contrast, Singapore exhibits a bifurcated market where HDB public housing rents are projected to see modest growth (2–5% in 2025) due to constrained leasing supply, while private condominium rents remain flat or adjust marginally (0–3%) as new supply is absorbed.
- **Investment Fundamentals:** Gross rental yields in Beijing remain compressed at approximately **2.0% to 2.7%**, reflecting historically elevated capital values relative to leasing rates. Singapore offers a more robust yield environment, averaging **3.5%** for private condominiums and upwards of **4.5%** for public HDB flats.
- **Policy Philosophies:** The Beijing municipal government has formalized the leasing sector through the landmark *Beijing Housing Rental Regulations*, focusing on deposit caps, strict tenant protections against arbitrary evictions, the elimination of substandard subdivided units (*qunzu fang*), and the promotion of "equal rights for renters and home purchasers" (*zugou tongquan*). Singapore's regulatory approach balances macroprudential cooling—such as a prohibitive **60% Additional Buyer's Stamp Duty (ABSD)** on foreigners that effectively channels all expatriate demand into the rental market—with pragmatic supply-side adjustments, including the temporary relaxation of URA occupancy caps from 6 to 8 unrelated persons to alleviate capacity constraints.

1. Introduction & Macroeconomic Context

Understanding the housing dynamics of Beijing and Singapore requires examining their macroeconomic foundations, geographic constraints, and demographic realities.

MACROECONOMIC & DEMOGRAPHIC BASELINE	
BEIJING	SINGAPORE
• Population: ~21.9 Million (Resident & Non-Resident) • Land Area: 16,411 sq km	• Population: ~6.0 Million (Resident & Non-Resident) • Land Area: 734.3 sq km

• Status: Chinese Capital, Tech/	• Status: Sovereign City-State, Global Financ
ial Center	
Political Hub	• Currency Peg: Managed Float (MAS Exchange R
ate Band)	
• Monetary Policy: PBOC Easing	• Monetary Policy: Tight/Neutral, exposed to
Fed cycles	
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Beijing: Megacity Governance and Economic Restructuring

As the political and cultural capital of the People's Republic of China, Beijing is a sprawling metropolis of nearly 22 million residents. The city's economic landscape is heavily anchored by state-owned enterprises (SOEs), financial regulatory bodies, and a world-class technology sector centered in the Zhongguancun and Wangjing districts.

Macroeconomically, China has spent the post-pandemic years managing a complex transition away from debt-fueled real estate development toward advanced manufacturing and domestic consumption. The People's Bank of China (PBOC) has maintained a moderately accommodative monetary stance, lowering benchmark interest rates and mortgage loan prime rates (LPR) to stabilize the broader property sector. However, persistent consumer caution and a broader slowdown in speculative real estate investment have fundamentally altered housing behavior in Beijing. Potential homebuyers are increasingly adopting a "wait-and-see" approach, opting to remain in the rental market rather than committing to highly leveraged property purchases amid uncertain capital appreciation prospects.

Singapore: Sovereign Island Economy and Global Wealth Influx

Singapore operates as a highly open, sovereign island city-state and the preeminent financial and logistical hub of Southeast Asia. With a total land area of just 734 square kilometers and a population of approximately 6 million (comprising 4.15 million citizens/permanent residents and 1.85 million non-residents), land scarcity is an absolute operational constraint.

Singapore's macroeconomic environment is intimately tied to global trade and capital flows. The Monetary Authority of Singapore (MAS) manages monetary policy via the exchange rate rather than interest rates, allowing domestic interest rates to largely mirror U.S. Federal Reserve cycles. Consequently, the high-interest-rate environment of 2023–2024 significantly increased mortgage servicing costs for Singaporean landlords. Concurrently, Singapore's reputation as a safe haven has attracted record inflows of global wealth, family offices, and multinational corporations. This influx has created intense competition for housing, prompting the government to implement sweeping macroprudential cooling measures to insulate the domestic residential market from speculative foreign capital.

2. Deep Dive: Current Rental Market Trends

`` BEIJING RENTAL TRAJECTORY SINGAPORE RENTAL TRAJECTORY (The "Summer Squeeze" Glut) (Post-Boom Stabilization & Divergence)

High Inventory Listings (+12.2%) Public HDB Demand Private Condo Supply | | | ▼ ▼ ▼
Falling Effective Rents Modest Rent Growth Flat / Softening Rents (Landlord Concessions up to 1k RMB) (2% - 5% in 2025/2026) (0% - 3% Adjustment) ``

2.1 Beijing Rental Market Trends: The "Summer Squeeze" and Supply Glut

Throughout 2024 and entering 2025, Beijing's residential rental market experienced an unusual structural shift widely characterized by industry analysts as the "Summer Squeeze." Data from the China Real Estate Information Corp (CRIC) revealed that across 55 major Chinese cities, individually owned rental listings surged by **12.2%** year-on-year, reaching 618,000 units in July 2024. In Beijing, this expansion in available inventory coincided with a moderation in net new tenant demand.

+-----+ + +-----+ + Listing Inventory Surge +12.2% YoY increase in available rental units Landlord Pricing Power Negative; widespread rent cuts of 500 – 1,000 RMB/mo Citywide Avg Rent ~71.20 – 75.00 RMB / sqm / month Prime 1BR (Haidian/CBD) ~5,900 RMB (\$817 USD) / month Prime 2BR (Haidian/CBD) ~9,600 RMB (\$1,324 USD) / month Citywide Avg 2BR ~6,000 – 6,400 RMB (\$850 USD) / month +-----+ +	
BEIJING RENTAL MARKET DYNAMICS (2025)	

Several micro-level trends define the current Beijing rental landscape: 1. **Landlord Price Concessions:** To avoid protracted vacancy periods, individual landlords in Beijing are actively reducing asking rents. Industry surveys indicate that landlords in competitive submarkets (such as Chaoyang and Fengtai) are cutting monthly rates by 501 to 1,000 RMB, alongside offering flexible payment terms. 2. **Flight to Quality vs. Budget Optimization:** Tenant behavior has bifurcated. White-collar professionals in elite sectors (tech and finance) are leveraging lower rents to upgrade to higher-quality, professionally managed long-term rental apartments (e.g., Ziroom or Danke equivalents). Conversely, recent university graduates and migrant workers are exhibiting heightened price sensitivity, favoring outer suburban districts along major subway arteries (e.g., Tongzhou, Changping, and Daxing) where 1-bedroom apartments can be secured for 3,000 to 4,000 RMB per month. 3. **Institutionalization of Stock:** The market is steadily shifting from fragmented, individual landlord arrangements to institutional, centralized management. State-backed housing enterprises and private asset managers are converting underutilized commercial and industrial properties into dedicated rental housing communities, amplifying overall supply.

2.2 Singapore Rental Market Trends: Post-Pandemic Rationalization and Bifurcation

Singapore's rental market is transitioning out of a highly volatile cycle. Following the lifting of COVID-19 border restrictions in 2022, an acute shortage of ready housing—caused by severe pandemic-related construction delays—collided with a massive influx of returning expatriates and foreign professionals. This dynamic-triggered an extraordinary rental surge, with island-wide rents escalating by 30% to 50% across 2022 and 2023.

By late 2024 and early 2025, the market reached an inflection point. The completion of a record 19,968 private residential units in 2023, followed by an additional 8,460 units in 2024, successfully absorbed accumulated demand, restoring equilibrium to the market.

SINGAPORE RENTAL MARKET DYNAMICS (2025)	
Market Phase	Post-boom stabilization; transition to rational pricing
Whole HDB Flat (Avg)	~2,400 SGD (\$1,750 USD) / month
Private Condo OCR	~2,500 – 4,000 SGD (\$1,850 – \$2,960 USD) / month
Private Condo RCR	~3,500 – 5,000 SGD (\$2,590 – \$3,700 USD) / month
Private Condo CCR	~4,500 – 6,500+ SGD (\$3,330 – \$4,815 USD) / month
Co-living Studio	~3,000 SGD (\$2,220 USD) / month

Current institutional forecasts for 2025–2026 highlight a clear market bifurcation: 1. **HDB Public Rental Resilience:** According to real estate agencies such as ERA and CBRE, rental rates for public HDB flats are projected to grow by **2% to 5%** in 2025. This upward pressure stems from a structural contraction in available HDB leasing stock. As more HDB owners reach their Minimum Occupation Period (MOP) and choose to sell their highly valued flats rather than lease them, the pool of whole-unit HDB rentals has tightened. This segment remains highly sought after by budget-conscious expatriates and young local families experiencing delays in their Build-To-Order (BTO) flats. 2. **Private Condominium Softening:** In the private non-landed sector, major brokerages like Savills predict flat (0%) growth, while others project a narrow band of 0% to 3%. Landlords in the Core Central Region (CCR) and Rest of Central Region (RCR) have lost the aggressive pricing power they commanded in 2023. Tenants are actively resisting unjustified rent hikes, leading to increased contract non-renewals and a steady migration toward more affordable private options in the Outside Central Region (OCR) or co-living spaces. 3. **Rise of Institutional Co-Living:** Co-living operators (e.g., Hmlet, Coliwoo, Figment) have institutionalized a significant portion of the shared rental market. Offering highly flexible lease terms, fully furnished studios (~3,000 SGD/month), and integrated utility packages, co-living has become the baseline entry point for single foreign professionals entering Singapore.

2.3 Visualizing Rental Price Disparities

To contextualize the cost differences between the two metropolitan centers, the following visualization compares average monthly rental rates across equivalent housing tiers in 2025,

converted to U.S. Dollars (using benchmark exchange rates of 1 USD = 7.25 RMB and 1 USD = 1.35 SGD).

Average Monthly Rental Prices: Beijing vs. Singapore (2025, USD Equivalen

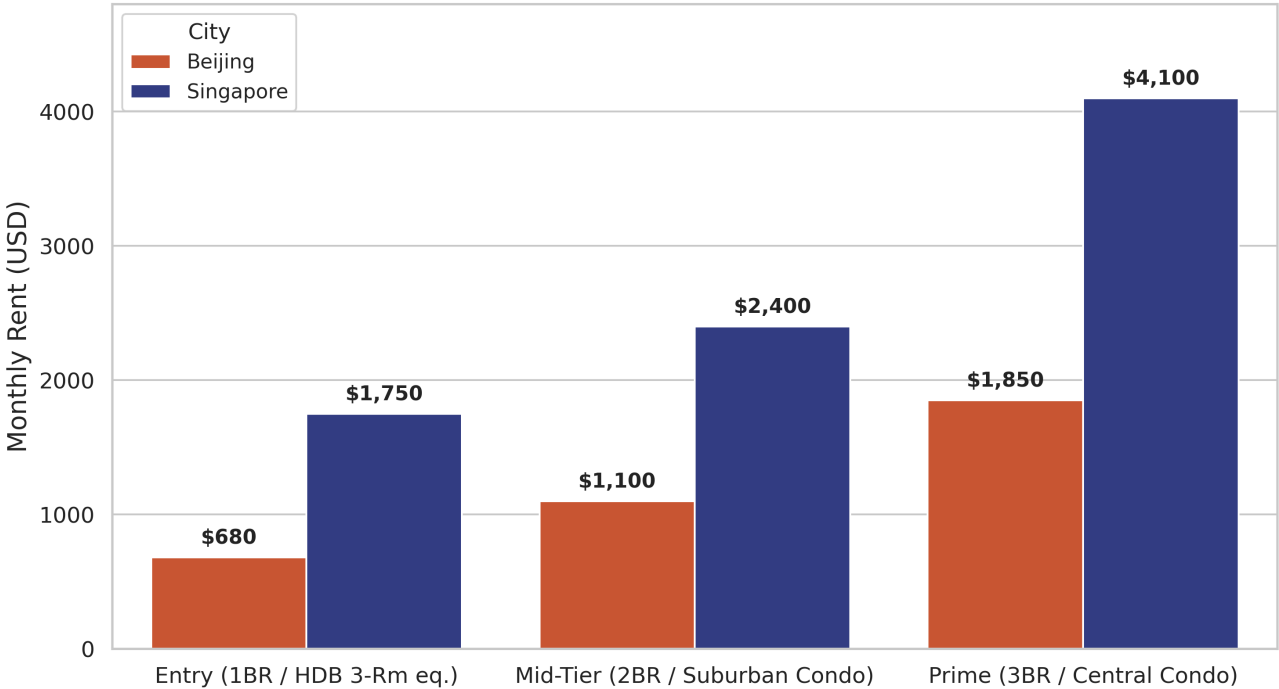
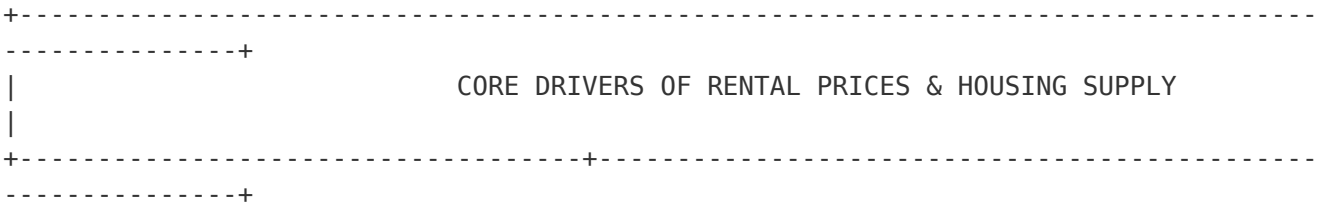


Figure 1: Average Monthly Rental Prices across entry-level, mid-tier, and prime residential segments in Beijing and Singapore. Data sources: CRIC, Global Property Guide, URA, HDB, and institutional brokerage reports (2025).

Analytical Breakdown of Figure 1: - Entry-Level Disparity: An entry-level 1-bedroom apartment in Beijing’s outer districts (~\$680 USD) is approximately 61% cheaper than an equivalent entry-level whole HDB 3-room flat in Singapore (~\$1,750 USD). - **Mid-Tier Premium:** In the mid-tier segment, a standard 2-bedroom private condominium in Singapore’s suburban OCR (~\$2,400 USD) commands a 118% premium over a citywide average 2-bedroom apartment in Beijing (~\$1,100 USD). - **Prime Luxury Divergence:** The gap widens substantially in the luxury prime segment. High-end 3-bedroom condominiums in Singapore’s Core Central Region (CCR) average \$4,100 USD (with ultra-luxury units exceeding \$6,500 USD), representing a 121% premium over prime 3-bedroom residences in Beijing’s elite central districts (\$1,850 USD). This premium reflects Singapore's concentration of multinational executive compensation and global wealth.

3. Fundamental Factors Influencing Rental Prices and Housing Supply



BEIJING	SINGAPORE
• Hukou migration restrictions • Compressed gross yields (2.0-2.7%) • Dual-pillar land supply policy • 64% land allocated to affordable (2025-2026)	• Foreign workforce quotas & EP salary thresholds • Healthier gross yields (3.5% Private, 4.5% HDB) • Government Land Sales (GLS) & cyclical completions • Projected 40% drop in private completions (2025-2026)

3.1 Drivers of Rental Prices & Affordability

Demographic Inflows and Demand Elasticity

In Beijing, rental demand is fundamentally governed by domestic higher education cycles and the municipal **hukou** (household registration) system. Each July, an influx of university graduates enters the Beijing job market, creating predictable seasonal demand spikes. However, municipal population capping policies and the decentralization of non-capital functions to the Xiongan New Area have moderated long-term population growth. Furthermore, structural shifts in China's domestic tech and tutoring sectors have led to professional consolidation, reducing the willingness of white-collar tenants to accept aggressive rent increases.

In Singapore, rental demand is predominantly exogenous and governed by the Ministry of Manpower's (MOM) immigration frameworks. Because foreign professionals are largely restricted from purchasing residential property due to prohibitive stamp duties, expatriates represent a captive rental audience. Demand elasticity is directly linked to corporate hiring budgets and Employment Pass (EP) qualifying salary thresholds. When multinational corporations expand their regional headquarters in Singapore, prime condo rents escalate rapidly; conversely, when global financial or tech sectors execute planetary headcount reductions, rental demand in the CCR contracts immediately.

Investment Fundamentals: Gross Rental Yields and Rent-to-Income Ratios

A critical divergence between Beijing and Singapore lies in their underlying real estate investment mechanics, specifically gross rental yields and tenant affordability ratios.

INVESTMENT & AFFORDABILITY BENCHMARKS		
METRIC	BEIJING	SINGAPORE
Gross Rental Yield (Private/Condo)	2.0% – 2.7%	3.0% – 3.8%

Gross Rental Yield (Public/HDB)	N/A	4.2% – 5.2%
Mortgage Interest Rate (Avg)	~3.1% – 3.5% (LPR)	~3.5% – 4.2% (SORA)
Rent-to-Income (Single Earner 1BR)	~38.5%	~34.0%
Rent-to-Income (Household 2BR/HDB)	~28.0%	~24.5%
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+		

- 1. The Yield Compression Dilemma in Beijing:** Beijing exhibits some of the lowest gross rental yields among major global cities, hovering between **2.0% and 2.7%** (Global Property Guide 2025). This chronic yield compression is the historical byproduct of China's property boom, where capital values grew exponentially faster than underlying wage and rental growth. For an investor purchasing a prime 2-bedroom apartment in Beijing for \$587,600 USD and leasing it for \$1,324 USD per month, the annual yield of 2.70% falls barely below or inline with prevailing mortgage interest rates. Consequently, buy-to-let investors in Beijing have historically relied almost entirely on capital appreciation rather than rental cash flow—a model that faces significant headwinds under current market stabilization policies.
- 2. Cash Flow Fundamentals in Singapore:** Singapore maintains much healthier yield spreads. Private condominiums yield between **3.0% and 3.8%**, while public HDB flats generate highly lucrative yields of **4.2% to 5.2%** due to their lower capitalized purchase costs relative to open-market leasing rates. This stable cash flow provides strong structural support for property valuations in Singapore, even during periods of elevated interbank lending rates (SORA).
- 3. Tenant Affordability Burden:** To evaluate the genuine financial burden on residents, we analyze the Rent-to-Income ratio (monthly rent expressed as a percentage of average net monthly disposable income). In Beijing, where average white-collar monthly disposable salaries range from 11,000 to 13,000 RMB, an individual leasing a 4,500 RMB 1-bedroom apartment allocates approximately **38.5%** of their net income to housing. In Singapore, where median resident monthly income exceeds 5,200 SGD, an individual renting a co-living studio or shared master bedroom (~1,800 SGD) allocates approximately **34.0%** of their income. For dual-income households leasing an entire HDB 3-room flat, the household rent-to-income ratio drops to a highly manageable **24.5%**, underscoring the protective economic buffer provided by Singapore's public housing ecosystem.

The following visualization illustrates these fundamental investment and affordability metrics across both cities:

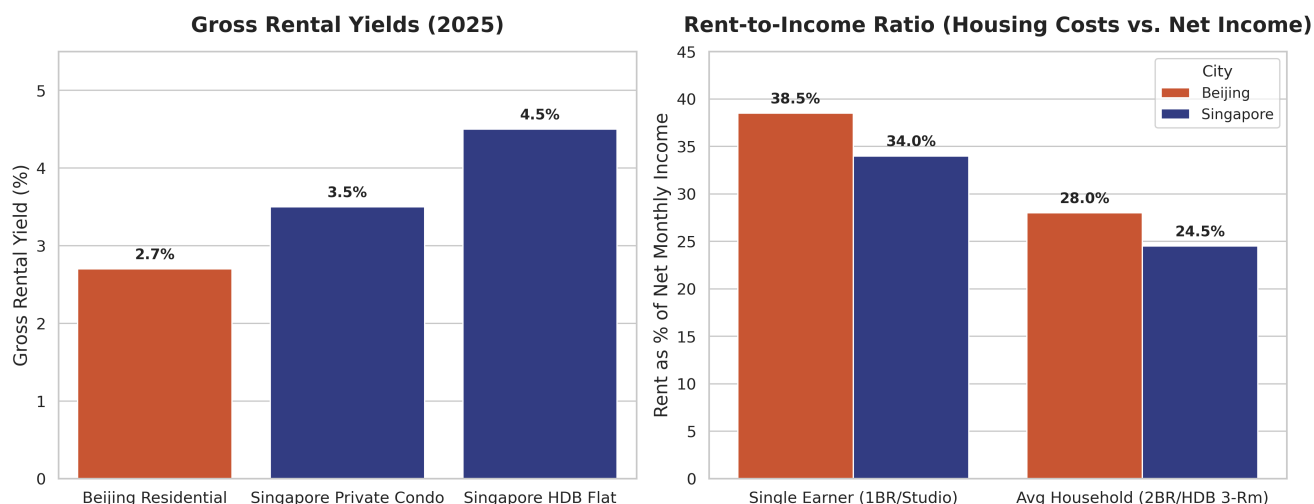


Figure 2: Subplot 1 displays Gross Rental Yields across Beijing residential properties, Singapore private condominiums, and Singapore HDB flats. Subplot 2 illustrates Rent-to-Income ratios for single earners (1BR/Studio) and average households. Data sources: Global Property Guide, MAS, PBOC, MOM, and Beijing Municipal Bureau of Statistics (2025).

3.2 Housing Supply Dynamics & Elasticity

The mechanisms governing housing supply in Beijing and Singapore reflect their contrasting governance models: Beijing utilizes centralized municipal land allocation and state-directed master planning, while Singapore relies on a highly structured Government Land Sales (GLS) program paired with a tight public-private development pipeline.

Beijing: The Dual-Pillar Supply Transformation

Academic evaluations of Beijing's housing market (e.g., MDpi Q4 2024/2025 studies) verify that the city's housing supply and demand remained in dynamic equilibrium from 2014 through 2024. However, the municipal government has fundamentally restructured its supply strategy for the 15th Five-Year Plan framework (2026–2030), pivoting decisively toward a "dual-pillar" model that places equal emphasis on commercial housing and subsidized affordable housing.

In its official 2025 land supply allocation, the Beijing municipal government designated **240 to 300 hectares** of land for commercial residential housing, while allocating a massive **475 hectares** specifically for affordable and subsidized rental housing (*Baozhangfang*). This represents a profound structural intervention: **61% to 66%** of new residential land supply is now dedicated to non-speculative, affordable accommodation. Furthermore, the municipal government is actively mobilizing rural collective economic organizations, permitting them to construct and operate institutional rental housing on collective construction land (*jiti jianshe yongdi*), thereby rapidly expanding the volume of formal, low-cost rental units on the urban periphery.

Singapore: Cyclical Supply Waves and the 2025–2026 Contraction

In Singapore, housing supply is inherently inelastic in the short term due to rigorous urban planning and multi-year construction lifecycles. The URA and HDB calibrate future supply via the bi-annual Government Land Sales (GLS) Master Plan.

SINGAPORE PRIVATE RESIDENTIAL COMPLETIONS	
YEAR	COMPLETED UNITS (NON-LANDED & LANDED)
2022	~10,325 Units
2023 (Historic Peak)	~19,968 Units
2024	~8,460 Units
2025 (Forecast)	~5,000 – 6,000 Units (40% Contraction)
2026 (Forecast)	~5,500 Units

As detailed in the table above, Singapore experienced an unprecedented completion wave in 2023 (~19,968 units) as developers finalized projects delayed by the pandemic. This massive injection of stock was the primary catalyst for the rental market softening observed in 2024. However, forward-looking completion schedules indicate a sharp structural contraction. In 2025, private residential completions are projected to fall by **40%** to approximately 5,000 to 6,000 units, maintaining a similar constrained run-rate into 2026. This impending supply deceleration is expected to establish a definitive floor under private condominium rents, preventing any severe downward price correction despite broader macroeconomic headwinds.

The following dual-panel visualization contrasts Singapore's private completion trajectory with Beijing's policy-driven 2025 land supply allocation:

Housing Supply Dynamics & Policy-Driven Allocation (2023-2026)

Singapore Private Residential Completions (Units) Beijing 2025 Planned Residential Land Allocation

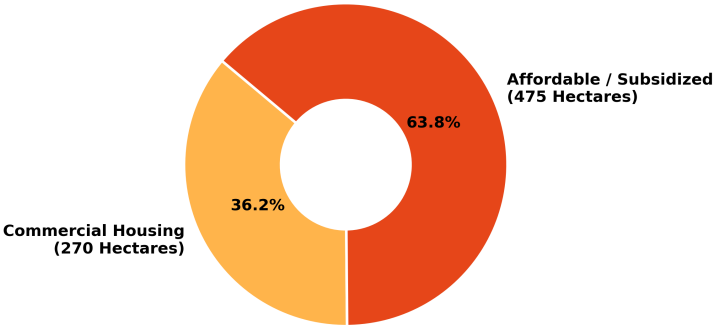
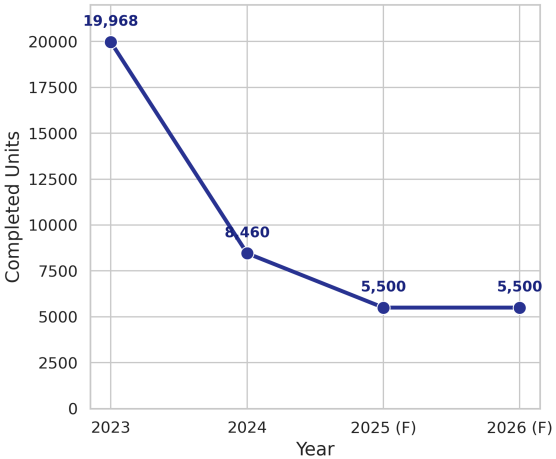


Figure 3: Subplot 1 highlights the cyclical trajectory of Singapore private residential completions from the 2023 peak through the 2025–2026 forecast contraction. Subplot 2 illustrates Beijing’s 2025 planned residential land allocation, demonstrating the dominant policy shift toward affordable rental housing. Data sources: URA, HDB, Beijing Municipal Commission of Planning and Natural Resources (2025).

4. Government Policy Frameworks Shaping the Rental Market

The regulatory architecture governing Beijing and Singapore reveals how each government conceptualizes the role of housing: Beijing views rental market formalization and tenant protection as essential pillars of social stability and "common prosperity," while Singapore views strict public housing regulation and macroprudential taxation as critical instruments for preserving citizen homeownership and economic competitiveness.

COMPARATIVE POLICY ARCHITECTURE	
BEIJING	SINGAPORE
• Rent control & deposit caps (Max 1 mo deposit, 3 mo rent) • Anti-qunzu (subdivision ban) • Zugou tongquan (equal rights)	• Strict HDB subletting rules & 5-10 yr MOP • ABSD macroprudential cooling (60% foreign tax) • URA occupancy cap temporary relaxation (6->8 pax) • Non-citizen block quotas to prevent enclaves

4.1 Beijing: Regulatory Formalization and Subsidized Expansion

For decades, Beijing’s rental market operated in a gray regulatory zone characterized by informal contracts, arbitrary evictions, and rampant subleasing abuses by speculative syndicates (*erfangdong*). To rectify these systemic governance gaps, the municipal government enacted the landmark **Beijing Housing Rental Regulations** (北京市住房租赁条例) in September 2022, reinforced by the State Council’s comprehensive 50-article national rental housing framework promulgated in July 2025.

Rent Control and Financial Governance

The regulations introduce stringent financial guardrails designed to curb predatory leasing practices: 1. **Deposit and Collection Caps:** Landlords and institutional leasing entities are strictly prohibited from collecting more than one month's rent as a security deposit.

Furthermore, the collection of advance rent is legally capped at a maximum of three months (overturning the historically prevalent but burdensome practice of demanding six to twelve months' rent upfront from vulnerable tenants). 2. **Mandatory Escrow Accounts:** To prevent runaway asset mismanagement scandals—such as the high-profile collapse of platforms like Danke Apartment, where operators pooled tenant annual prepayments to aggressively acquire new property leases—all institutional leasing enterprises and online platforms must maintain government-monitored escrow accounts (*jianguan zhanghu*) to hold tenant deposits and prepaid rents. 3. **Emergency Rent Intervention:** The municipal regulations explicitly institutionalize a price-intervention mechanism. If average leasing rates in specific submarkets experience "abnormal increases," the municipal housing authorities are empowered to issue mandatory rent increase caps or freeze pricing adjustments entirely.

Tenant Rights, Safety Standards, and Elimination of Substandard Housing

The regulatory framework establishes robust legal protections for occupants: - **Prohibition of Coercive Evictions:** Landlords are legally barred from utilizing utility shutoffs (water, electricity, heating) or violent intimidation to force lease modifications, demand midterm rent hikes, or execute premature terminations. - **Crackdown on Subdivided Units (*Qunzu Fang* 群租房):** The municipal government has intensified its zero-tolerance enforcement against illegally partitioned apartments. The regulations mandate strict minimum per-capita area standards and explicitly outlaw the conversion of living rooms (*qijushi*), kitchens, bathrooms, balconies, or basement storage rooms into standalone bedrooms. - **Strict Indoor Air Quality Mandates (*Jiaquan Fang* 甲醛房):** Addressing severe public health concerns regarding newly constructed or rapidly renovated apartments off-gassing highly toxic formaldehyde, the law dictates that all rental properties must pass rigorous indoor environmental quality certifications prior to tenant occupancy, establishing severe financial penalties for non-compliant landlords and brokerages.

Supply-Side Subsidies: Guaranteed Rental Housing (*Baozhangfang*)

Central to Beijing's long-term urban strategy is the massive rollout of **Guaranteed Rental Housing** (保障性租赁住房). Aimed directly at new citizens, young professionals, and essential urban workers, these state-subsidized developments offer below-market rents (typically capped at 85% to 90% of prevailing market rates for comparable units) alongside capped annual rent escalations.

Crucially, Beijing is making incremental progress toward **Zugou Tongquan** (租购同权)—the policy principle granting long-term renters equal civic rights to property owners, specifically concerning access to municipal public schooling districts and residency registration points.

4.2 Singapore: Macroprudential Cooling and Public-Private Segmentation

Singapore's rental policy is intricately calibrated to support the overarching national objective: protecting the public housing ecosystem where over 80% of citizens reside, ensuring that Singaporeans maintain a tangible, appreciating stake in the nation's economic success.

HDB Public Housing Regulations: Preserving the Homeownership Core

The Housing & Development Board (HDB) enforces highly restrictive covenants regarding the subletting of public flats: 1. **Minimum Occupation Period (MOP):** To prevent speculative buy-to-let investing in subsidized public housing, HDB flat owners are legally forbidden from

leasing out their entire unit until they have physically occupied the property for a mandatory Minimum Occupation Period—typically **5 years**, escalating to **10 years** for flats launched under the Prime Location Housing (PLH) model. During the MOP, owners may only sublet individual spare bedrooms while retaining personal occupancy of the master unit.

2. **Non-Citizen Quotas (NCQ):** To prevent the formation of transient expatriate enclaves within public housing estates, the HDB enforces strict Non-Citizen Subletting Quotas. Only a restricted percentage of flats within any given HDB block (typically 11%) and neighborhood (typically 8%) can be leased to non-Malaysian non-citizens. Once a block's quota ceiling is reached, owners are legally barred from signing new tenancy agreements with foreign passport holders.

Macprudential Tax Interventions: Additional Buyer's Stamp Duty (ABSD)

Singapore utilizes aggressive macroprudential taxation to insulate its domestic property market from international capital surges. The primary instrument is the **Additional Buyer's Stamp Duty (ABSD)**.

SINGAPORE ADDITIONAL BUYER'S STAMP DUTY (ABSD) RATES	
BUYER PROFILE	ABSD RATE (ON PURCHASE PRICE / MARKET VALUE)
Singapore Citizen (1st Property)	0%
Singapore Citizen (2nd Property)	20%
Permanent Resident (1st Property)	5%
Permanent Resident (2nd Property)	30%
Foreigner (Any Property)	60% (Prohibitive Barrier)
Entities / Trusts	65%

Following successive rate hikes (most notably in April 2023), the ABSD rate levied on foreign buyers purchasing any residential property in Singapore was doubled from 30% to a punitive **60%**. This policy has exerted a profound, secondary structural impact on the rental market:

- **Captive Expatriate Demand:** By making property acquisition economically irrational for incoming international talent, the 60% ABSD effectively forces the entire expatriate demographic into the private leasing market. This permanent stream of high-earning tenant demand provides vital structural support for CCR and RCR condominium rents.
- **Landlord Cost Pass-Through:** Concurrently, the government has increased annual Property Tax rates for non-owner-occupied residential properties (escalating up to 36% for high-value investment properties). Landlords facing elevated property taxes and higher mortgage servicing costs have attempted to pass these fiscal burdens directly to tenants during lease renewals, driving the intense rental negotiations observed across 2024 and 2025.

URA Occupancy Caps: Pragmatic Temporary Relaxation

While Singapore maintains strict baseline zoning regulations to prevent residential overcrowding, the government demonstrates remarkable pragmatic flexibility during market crunches.

Historically, the URA enforced a strict occupancy cap prohibiting more than six unrelated persons from residing in any single private residential property or HDB flat. However, recognizing the acute supply bottlenecks and soaring rental costs of 2022–2023, the HDB and URA issued a joint provisional directive: **effective from 22 January 2024 through 31 December 2026**, the occupancy cap for larger HDB flats (4-room and larger) and private residential properties (exceeding 90 square meters) is temporarily relaxed to accommodate up to **eight unrelated persons**. Alongside the injection of new home completions, this calibrated policy intervention successfully expanded effective room-rental capacity, directly alleviating upward price pressure in the co-living and shared flat sectors.

5. Comprehensive Comparative Analysis

To synthesize the multifaceted findings of this study, the following structured matrix provides a direct, head-to-head comparison of the rental markets in Beijing and Singapore across eight fundamental dimensions.

HEAD-TO-HEAD RENTAL MARKET COMPARISON		
DIMENSION	BEIJING	SINGAPORE
1. Market Structure & Primary Segments	• Highly fragmented private landlords. • Rapidly growing state-backed institutional sector (Baozhangfang & Ziroom).	• Dual-market duopoly: regulated public HDB stock) vs. open-market private Condo/Landed sector. • Institutionalized Co-living.
2. Price Levels & Affordability	• Tenant's market with falling rents. • Prime 1BR: ~\$817 USD/mo. • Citywide 2BR: ~\$850 USD/mo.	• Stabilizing post-boom market. • Whole HDB: ~\$1,750 US • Private Condo: ~\$2,400 - \$4,800+ USD/mo depending on region.

	• High rent-to-income (38.5%).	• Moderate rent-to-income (24-34%).
+-----+	+-----+	+-----+
-----+		
3. Investment Yields	• Severely compressed gross	• Healthy, cash-flow supportive gross
& Capital Returns	yields (2.0% – 2.7%).	yields.
	• Historically reliant on	• Private Condos: 3.0%
– 3.8%.	capital appreciation.	• Public HDB flats: 4.
2% – 5.2%.		
+-----+	+-----+	+-----+
-----+		
4. Primary Tenant	• Domestic university graduates,	• Expatriates, EP foreign talent,
Demographics	internal migrant workers,	multinational executives,
	tech/finance professionals	international students, and local
flats.	delaying home purchases.	families awaiting BTO
+-----+	+-----+	+-----+
-----+		
5. Housing Supply	• Centralized municipal land	• Highly controlled Government Land
Mechanism	allocation; 2025 shift targets	Sales (GLS) program.
	64% of land to affordable	• Inelastic short-term;
upcoming 40%	rental housing construction.	drop in completions
(2025-2026).		
+-----+	+-----+	+-----+
-----+		
6. Core Policy	• Common prosperity, social	• Protecting citizen homeownership,
Philosophy	stability, tenant protection,	preventing foreign speculative
ing global	and equalizing civic rights	bubbles, and maintaining
ess.	(Zugou Tongquan).	economic competitiveness.
+-----+	+-----+	+-----+
-----+		
7. Rent Control &	• Strict deposit caps (Max 1 mo	• No direct rent control on pricing.
Protections	deposit, 3 mo rent advance).	• Strict HDB subletting rules (MOP,
tas).	• Escrow mandates for platforms.	Non-Citizen block quotas).
	• Ban on subdivided units.	• UR
A occupancy cap (6 to 8 pax).		
+-----+	+-----+	+-----+
-----+		

8. Near-Term Outlook	• Continued downward rental	• Market bifurcation: H
DB rents grow		
(2025–2026)	pressure due to listing glut	modestly (2-5%) due t
o tight stock,		
	and massive subsidized supply	while private condo r
ents remain		
	entering the market.	flat (0-3%) amid abso
rption.		
+-----+	+-----+	+-----+
-----+		

Narrative Synthesis: Two Distinct Urban Models

The comparative matrix highlights two fundamentally distinct approaches to urban housing management.

Beijing represents a **State-Led Structural Overhaul Model**. Confronting the developmental limits of China's highly leveraged real estate boom, the municipal government is actively de-escalating the financialization of housing. By enforcing rigorous deposit caps, mandating escrow accounts, eliminating substandard subdivided housing, and directing over 60% of residential land supply toward subsidized rental construction (*Baozhangfang*), Beijing is institutionalizing the rental sector as a permanent, dignified housing solution. While this aggressive expansion of supply has created near-term headwinds for private buy-to-let landlords—manifesting in rising vacancy risks and falling rents—it substantially enhances urban livability and aligns perfectly with the central government's macroeconomic rebalancing objectives.

Singapore represents a **Calibrated Macroprudential Balancing Model**. Operating within absolute geographic constraints, the Singaporean state utilizes surgical policy instruments to insulate its public housing core from the volatile cross-currents of global capital. The 60% ABSD on foreign buyers is a masterful macroprudential barrier: it protects citizen homeownership affordability while simultaneously guaranteeing a highly affluent, captive tenant demographic for private condominium landlords. When external demand shocks threaten to destabilize the market—as seen during the 2022–2023 rental surge—the state deploys pragmatic, temporary supply-side relief, such as relaxing URA occupancy caps to 8 persons and accelerating GLS land parcels. This ensures that Singapore retains its premier status as a magnet for international talent without sacrificing domestic social cohesion.

6. Conclusion & Strategic Recommendations

+-----+		
-----+		
	STAKEHOLDER ACTION MATRIX	
+-----+		
-----+		
LANDLORDS & INVESTORS		TENANTS & EXPATRIATES
+-----+		
-----+		
[BEIJING]		[BEIJING]

• Focus on tenant retention over MB cuts.	• Negotiate aggressively; request 500-1,000 R
yield maximization.	• Exploit 1-mo deposit / 3-mo rent collection
caps.	
• Upgrade furnishing to compete	• Verify indoor air quality (Jiaquan fang cer
tification).	
with institutional Ziroom stock.	
[SINGAPORE]	[SINGAPORE]
• Price realistically; tenants	• Lock in multi-year leases ahead of 2025-202
6 supply drop.	
resisting aggressive hikes.	• Leverage 8-pax occupancy cap for co-living
economies.	
• Target HDB flats for superior	• Monitor HDB non-citizen block quotas before
committing.	
cash-flow yields (4.5%+).	
+-----+	+-----
-----+	

6.1 Strategic Advice for Institutional Investors and Landlords

Operating in Beijing

- **Prioritize Tenant Retention over Yield Maximization:** In a market characterized by a 12.2% surge in listing inventory and declining effective rents, protracted vacancies represent the single greatest threat to investment returns. Landlords should proactively offer modest lease renewal discounts (e.g., 300 to 500 RMB/month) to retain stable, documented tenants.
- **Asset Quality Upgrades:** To compete with the rapidly expanding supply of state-subsidized *Baozhangfang* and professionally managed apartments (e.g., Ziroom), private landlords must invest in contemporary interior renovations, high-speed broadband infrastructure, and modern, energy-efficient appliances.
- **Regulatory Compliance:** Ensure absolute adherence to the *Beijing Housing Rental Regulations*. Never demand more than one month's rent as a deposit, eliminate any ad-hoc room partitions, and ensure verifiable compliance with indoor air quality standards to avoid severe municipal statutory fines.

Operating in Singapore

- **Adopt Rational Pricing Strategies:** The era of demanding 30% to 40% rental increases upon lease renewal has definitively ended. With significant private housing stock from the 2023–2024 completion wave still being absorbed by the market, tenants are highly informed and willing to relocate. Pricing units at fair market value ensures immediate occupancy and avoids costly vacancy voids.
- **Target HDB Assets for Yield:** For investors with citizen or permanent resident eligibility capable of navigating the mandatory MOP, public HDB flats represent the most lucrative cash-flow assets in Singapore, consistently delivering gross rental yields of 4.2% to 5.2%—significantly outperforming private condominiums (3.0% to 3.8%).

- **Prepare for the 2026 Supply Contraction:** Private residential completions will drop by 40% across 2025 and 2026. Landlords holding premium assets in the CCR and RCR should maintain asset quality, as this impending supply constraint will restore moderate pricing power to property owners by late 2026.

6.2 Actionable Guidance for Tenants and Expatriates

Navigating Beijing

- **Leverage Market Softness for Upgrades:** Tenants hold unprecedented bargaining power in Beijing's current market. Prospective renters should aggressively negotiate asking prices, requesting reductions of 500 to 1,000 RMB per month, particularly in high-inventory submarkets like Chaoyang, Fengtai, and Tongzhou.
- **Enforce Statutory Financial Protections:** Explicitly reject any landlord or agency demanding excessive upfront payments (e.g., demanding six months' rent in advance or multi-month security deposits). Legally assert your rights under the municipal regulations to a maximum 1-month deposit and 3-month rental payment schedule.
- **Exercise Due Diligence on New Renovations:** When leasing newly renovated apartments, insist on viewing official environmental test reports verifying that indoor formaldehyde (*jiaquan*) levels comply with national safety standards.

Navigating Singapore

- **Lock in Leases Prior to Supply Contraction:** While the private rental market has plateaued in 2024–2025, the sharp 40% reduction in new private home completions scheduled for 2025–2026 will limit future inventory. Tenants securing private condominiums should negotiate 24-month leases with fixed rental covenants to insulate themselves from potential rent firming in 2026.
- **Explore Co-Living and Shared Economies:** Single expatriates should take full advantage of the temporary URA occupancy cap relaxation (allowing up to 8 unrelated occupants in larger properties through December 2026). Co-living spaces operating under this expanded cap offer highly competitive per-room rates (~2,500 to 3,000 SGD) inclusive of utilities, cleaning, and community amenities.
- **Verify HDB Quotas and MOP Statutes:** When leasing an entire HDB flat, request explicit confirmation from the landlord or representing agent that the property has fully satisfied its 5-to-10-year Minimum Occupation Period, and verify that the block's Non-Citizen Subletting Quota possesses available capacity. Subletting an HDB flat that violates these statutory covenants renders the tenancy contract null and void, exposing the tenant to immediate municipal eviction.

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